

when price rises above the trendline. This additional buying cascades and price soars on heavy volume.

If demand is strong enough, price continues rising. About half the time, though, price spins around and heads back to the triangle boundary—a throwback. There price meets support at the top trendline or at the level of the triangle apex. Usually, price rebounds and continues in its original direction. Sometimes, though, price continues down, signaling an end to the upward trend (such as that shown in the figure).

Identification Guidelines

[Table 66.1](#) lists identification guidelines for symmetrical triangles.

Appearance. Consider [Figure 66.2](#), a symmetrical triangle with an upward breakout. The overall shape of the chart pattern is triangular and defined by two trendlines: One slopes downward from the top and the other slopes upward from the bottom so that they join at the apex. Price crosses the pattern plenty of times.

Touches. Numbers mark the minor highs and lows, which touch or come close to each trendline for a total of at least five touches (seven in this case). You must have at least five trendline touches, three on one trendline and two on the other, but they need not alternate. Anything less than five touches risks calling a bogus pattern a symmetrical triangle.

Whitespace. Price must cross the triangle from top to bottom, covering any whitespace. Too much whitespace is a common flaw for novice pattern hunters seeking triangles.

Volume. Volume trends downward from the start of the pattern to the end. Turnover may increase when price rises and declines when price falls, but the overall trend is receding. Let me say it is unusual for a symmetrical triangle to not have a receding volume trend, but it happens.

Even when volume tapers off, it may not be noticeable unless you run linear regression and look at the slope of the resulting line. However, more than 80% of the triangles do show a receding volume trend, high enough to make you consider any deviations carefully.